CENTRE FOR ECONOMIC POLICY RESEARCH

CEPR

September 2026

Stablecoins without borders: Stablecoin multi-country issuance and dollar-run risks in Europe[1]

Edoardo D. Martino,[ac] Eric Monnet[bd] and Enrico Perotti[ad]

[a]University of Amsterdam; [b]Paris School of Economics; [c]EBI; [d]CEPR

1 INTRODUCTION

Stablecoins are a form of private digital money which is currently almost fully denominated in US dollars. To maintain a stable peg in the currency of denomination, they are backed by reserve assets and purport to offer a redemption option at par on demand. This redemption option exposes stablecoin issuers to run risk.

Stablecoin capitalisation grew by half over 2025 up to over $300 billion and remained rather stable over 2026, accounting for a disproportionate share of crypto transactions (IMF, 2025) and displaying a much higher velocity than most private money (Noll, 2026). Most transactions serve as entry and exit ramps for crypto investment, settle speculative crypto trades, and serve as collateral within decentralised finance transactions (DeFi) (IMF, 2025).

This Policy Insight focuses on the risks stemming from the US dollar-denominated stablecoins issued in multiple jurisdictions through the same smart contract arrangement – so-called multi-country issuance (MCI) (Portes, 2025). We document the channels for redemption arbitrage across regulatory borders and divergent redemption regimes across issuing jurisdictions as the key channel for MCI risks.

A comparative analysis of the US and EU regimes reveals divergences in the regulatory regimes for stablecoins, with the EU regime providing stronger entitlements to holders and creating redemption arbitrage opportunities. In times of stress, rational holders would seek the strong safeguards offered by the EU redemption regime, rather than those offered by its US counterpart. These divergences and the technological features of on-chain private money generate the possibility to off-load redemption pressure and run risk from the US to the EU (Gabor, 2025; Portes, 2025; van 't Klooster et al., 2025).

Structural alternatives – such as prohibiting MCI, requiring technological separation between EU and third country-issued tokens, or providing a full equivalence regime – would remove the specific redemption-arbitrage mechanisms (Bindseil et al. 2026). We do not assess whether those alternatives are preferable. Instead, we ask how the

1 We wish to thank, without implicating, Inaki Aldasoro, Nico di Gabriele, Yvan Dubravica, Co-Pierre Georg, Ugo Panizza, and Oscar Soons for their comments on an earlier version of this Policy Insight. We also wish to thank Xinyue Chen for excellent research assistantship.

EU should contain MCI redemption risk if technologically fungible multi-country issuance remains permitted, given the high industry and political pressures for permission.

To ensure structural resilience, we propose contingent redemption measures for US dollar-denominated stablecoin issuers in the EU. The goal is to achieve functional redemption equivalence with the US regime, especially in relation to the implementation rules recently proposed by the Office of the Comptroller of the Currency (OCC), creating strategic independence even in a context of MCI.[2]

These measures should act as automatic stabilisers activated once redemptions into real currency cross a pre-specified threshold. Charges and gates reduce run incentives (Oostdam et al., 2025), rebalancing the incentive to seek redemption across jurisdictions. Similar contingent stabilisers were introduced for US prime money market funds (MMFs) in 2016, and were confirmed and strengthened in 2023. The measures envisioned in the recent OCC proposed rule on stablecoin redemption also fit this approch: imposing days of suspension if the holders seek redemption in excess of 10% of the outstanding value of an issuer's stablecoin within 24 hours. These contingent measures would address the risk that distress in dollar stablecoin markets is offloaded onto the EU through concentrated redemption pressure on the EU issuer. To further safeguard monetary sovereignty, we advance the notion of a 'systemic exception' mandate assigned to the ECB to intervene in extreme circumstances and suspend withdrawals of non-euro stablecoins.

The analysis proceeds as follows. Section 2 introduces the design of stablecoins, the mechanics of multi-country issuance, and the run risks generated by their use as private digital money and on-chain collateral. Section 3 compares the EU and US legal regimes, focusing on how the EU's Markets in Crypto-Assets Regulation (MiCAR) and the US GENIUS Act differ in their treatment of redemption rights, reserve safeguards, and stress-time liquidity management. Section 4 turns to regulatory responses. It assesses the limits of prohibition, reserve mobility, and the current MiCAR revision debate, before advancing contingent measures to achieve functional redemption equivalence and reduce dollar-run risk in Europe. Section 5 concludes.

2 STABLECOINS: DESIGN AND RISKS

2.1 The design of stablecoins

Stablecoins are a new form of private digital money whose value derives from the issuer's promise (Aldasoro et al., 2023; Martino, 2023). The stablecoin issuer promises to maintain a stable value against a reference asset, typically an official currency, and to redeem the token at or close to par (FSB, 2020). Therefore, stablecoins resemble other money-like private liabilities, such as uninsured bank deposits or money market fund shares (Gorton and Zhang, 2023)

Economically, stablecoins are meant to act as an on-chain safe asset, providing a stable settlement asset within digital markets, a medium of exchange, a digital store of value, and a bridge between crypto-assets and off-chain official currencies. To become of digital private money, their promise of stability and liquidity must be credible.

Currently, the stablecoin market is dominated by US dollar-denominated stablecoins, with Tether (USDT) and Circle (USDC) accounting for most of the market (Schnabel, 2026). This matters because the currency of denomination determines both the monetary unit in which the promise is made and the assets that are normally used to support it (Klooster et al., 2025; Aldasoro et al., 2026).

2 We define functional redemption equivalence as the absence of arbitrage opportunities allowing holders of technologically fungible tokens to benefit from the redemption option of the jurisdiction that offers faster, cheaper, or legally safer redemption terms.

In their current technological configuration, stablecoins are issued by identifiable off-chain entities that hold reserves to back their promise of stability and liquidity. Holders do not usually own a direct fractional interest in those reserves. They hold a token carrying a claim against the issuer in the primary market and a right to redeem into the reference currency at par. The legal design of redemption rights is therefore central: stability and liquidity depend not only on the existence of reserves, but also on the enforceability, timing, and cost of redemption.

Recent regulatory efforts around the world seek to strengthen this confidence (Goel et al., 2026). By imposing requirements on authorisation, reserves, liquidity, custody, disclosure, and redemption, legal frameworks attempt to transform a private promise into a reliable money-like instrument. However, this cannot eliminate fragility. Stablecoins remain exposed to run dynamics similar to other forms of private money (Ma et al., 2025). This risk is considered more directly in Section 2.3.

At the same time, the technological construction of stablecoins makes them different from known forms of private money. Stablecoins circulate on distributed ledgers. Tokens may be transferred across wallets and platforms without the same frictions that characterise conventional cross-border payment chains. Yet the issuer, the reserve assets, and the applicable legal framework remain jurisdiction-specific. This separation between global token circulation and local legal regimes becomes critical once the same stablecoin is issued through more than one legal entity in more than one jurisdiction. That is the problem of multi-country issuance.

The following subsections therefore isolate two features that are later combined in the analysis: the technological fungibility of multi-country issuance and the liquidity fragility of stablecoins as private money.

2.2 Understanding multi-country issuance

To properly understand the mechanisms underpinning MCI stablecoins and their risks, it is worth looking at the current leading MCI case. Circle, one of the global leaders in stablecoin issuance, is a US-based company issuing a US dollar-denominated stablecoin (USDC). Recently, Circle established a subsidiary in France and obtained a MiCAR licence to issue USDC. The European subsidiary of Circle is bound by MiCAR safeguards, including requirements on reserve assets, liquidity, and capital. This makes the two types of coins, issued in the US and in the EU, legally and financially different. However, both coins are deployed through the same smart contract. The resulting concern is not simply that US-issued and EU-issued USDC are technologically indistinguishable, but that once they circulate through the same smart contract, the practical link between the place of issuance and the place of redemption weakens.[3] If the EU entity offers stronger redemption rights than the corresponding US regime, in times of stress, holders and intermediaries have an incentive to direct redemption pressure towards the EU redemption channel. In that sense, technological fungibility can turn legal divergence into a channel for redemption arbitrage.

This brief explanation makes clear the complexity of the MCI construction, as it intertwines sophisticated financial, technological, and legal feature. Therefore, we propose a metaphor to capture the key features of MCI stablecoins. Stablecoins are issued locally and circulate globally through smart contracts or token programs deployed on distributed ledgers. Distributed ledgers can be depicted as rails, where 'trains' – i.e., smart contracts or other token arrangements – operate. Stablecoin circulation is currently fragmented across several public blockchains, including Ethereum, Tron, and Solana. Each rail has its specific technical requirements (Shin, 2026; Eidan et al., 2026). On Ethereum, the leading blockchain for stablecoin circulation, stablecoins are typically issued as a fungible token, following the ERC-20

3 Circle France's USDC White Paper expressly characterises USDC issued by Circle France and Circle LLC as fully fungible and provides that EEA holders may request redemption from Circle France for USDC issued on a blockchain supported by either entity.

standard. For ERC-20 stablecoins, circulation takes the form of balance accounting: one unit is treated as equivalent to any other token on the chain, so their circulation prompts the adjustment of the balance of transacting parties. This differs from non-fungible token standards such as ERC-721, where each token is individually identifiable and not interchangeable with other tokens in the same collection (Loporchio et al., 2024).[4] In contrast, all units of a stablecoin need to be equivalent to serve as an instrument for payments. This technical clarification is crucial to understand MCI redemption risk.

Stablecoins are traded on the rails, changing ownership while sitting in a train (smart contract). They can get on and off the train only at stations, where the stablecoin is redeemed and extinguished. The repayment comes from money originally paid for the train ticket, stored in the station vault, and used according to the station rules. Unlike the rails and the trains, each station is located in a specific jurisdiction. Each station is run by a private company – the stablecoin issuer – but its operating conditions depend on the jurisdiction where it is located, such as the EU or the US. As a result, the rules for allowing tokens to get on and off the train may well differ across station. For instance, terms for how the station can use the reserves paid by the holder, or the condition at which a token can be redeemed and get off the train, may differ. In some cases, the right to get off the train may be suspended (for example, by a gate) at some stations, but not at others.

Once on the train, the tokens are recorded in a specific coach associated with a holder.[5] Inside the train, tokens can easily change their coach (i.e., their holder) as a result of on-chain transactions. However, on the train, tokens all look the same irrespective of the station at which they originally boarded. In technical terms, stablecoin tokens are technologically fungible because the ledger records them as interchangeable units of the same digital asset (Schär et al., 2026).

Multi-country issuance arises where tokens can get on and off the same train from multiple stations located in different jurisdictions – in other words, where stablecoins are issued through legally distinct entities and circulate under a common smart contract or token arrangement. Therefore, the distinctive features of MCI structures are the cross-border use, the jurisdictionally fragmented issuance, and technologically unified circulation.

When an issuer of stablecoins is active in multiple jurisdictions, the tokens it issues are not legally the same – to operate, stations must comply with different regulatory requirements, including on reserves and redemption. These differences, especially in relation to the EU and the US regimes, are detailed in Section 3. This makes them different also financially, especially in times of crisis, because the value of the token depends on available redemption regime(s), i.e., on the jurisdiction-specific rules to get off the train and convert the token into the currency of denomination.

The distinction between issuance and circulation is central to understanding MCI redemption arbitrage. The primary market involves the issuer issuing, redeeming, converting or repurchasing tokens, i.e. the conditions to get on and off the train. The secondary market consists of transfers between holders, exchanges, wallets, and DeFi protocols, where the issuer is not normally a direct counterparty, i.e.: the conditions to move along the train (Watsky et al., 2024). In secondary circulation, the blockchain records the token as a unit of the same digital asset. It does not record whether its applicable redemption terms are governed by the rules applicable to the station located in the EU or the US. What is recorded is the number of tokens in each

4 Solana and Thron rely on a different architecture and do not use the ERC-20 standard. However, the functional result is similar: stablecoin units are recorded and transferred as fungible balances under the relevant token mint or program.

5 In its simplest characterisation, one coach corresponds to one off-chain holder. More precisely, a coach corresponds to an on-chain address or smart-contract balance, and a coin holder may control several addresses. A custodial or omnibus address, exchange wallet, DeFi pool, or smart contract may hold tokens for several persons. On-chain balances therefore do not provide a reliable one-to-one correspondence with off-chain holders or their jurisdiction, making holder- and location-based restrictions on redemption hard to enforce.

coach and when a token moves from one coach to the other, but not if the tokens in a specific coach got on the train at the EU or US station. Each station only knows its net issuance, but once the fungible tokens are commingled, the ledger does not preserve a reliable record of the issuing jurisdiction of each unit. Crucially, the reserves do not follow the tokens but remain in the vault of the issuing station and are used according to the rules of that station. MCI risk arises because tokens that are legally different are recorded on-chain as indistinguishable units of the same digital asset, creating technological fungibility of legally non-fungible tokens. This, in turn, creates the room for redemption arbitrage.

Legal non-fungibility matters when redemption terms diverge. Under stress, holders have incentives to identify the most favourable station to get off the train at, which is the regime offering faster, safer, or cheaper redemption. Crucially, once fungible balances are commingled, the ledger does not preserve a unit-level indication of the jurisdiction in which each token was issued. Holders can therefore direct technologically fungible tokens towards the redemption channel offering the most favourable terms, provided that they are eligible to redeem through that station. MCI creates redemption optionality: holders, intermediaries or arbitrageurs may try to route technologically fungible tokens towards the most favourable redemption channel. In turn, this would create a redemption congestion at the most favourable station, with the risk of crushing its redemption capacity.

2.3 Stablecoins are not safe assets

The technological fungibility described above matters because stablecoins are not frictionless safe assets. Like other forms of private money, they remain vulnerable to liquidity pressure and runs.

Unregulated stablecoin prices have occasionally fallen below par, not least because of opaque, unverifiable reserves, as during heavy selling in crypto markets or at the time of the collapse of Silicon Valley Bank (Ahmed et al., 2024). In Europe, the issuance of stablecoins has been regulated under MiCAR since 2023. In the US, the 2025 GENIUS Act, once implemented, will further enhance stablecoins' legitimacy and will likely increase both their volume and integration into mainstream payments and financial markets (Cecchetti and Schoenholtz, 2025).

Once stablecoins are regulated to hold proper reserves, can they still contribute to financial instability? Like MMFs or uninsured deposits, they remain subject to run risk, amplified by their use in leveraged trades (Aldasoro et al. 2024).

The mechanism is not different from other forms of private money. Reserve backing reduces credit risk, but it does not eliminate liquidity risk. Even where reserves are safe in normal times, they may need to be liquidated under stress to meet redemptions. If holders expect others to redeem, or if the stablecoin trades below par in secondary markets, redemption becomes individually rational, following the standard model of runs on banks (Diamond and Dybvig, 1983). Early redeemers receive the reference currency at par, while those who wait bear liquidity risk. A below-par secondary-market price can therefore turn doubts about liquidity into immediate redemption pressure. This is the mechanism generating congestion at a specific station. Unlike other runs, with MCI stablecoins, the redemption pressure against an issuer may be generated by tokens originally issued through another entity according to different rules.

2.4 Stablecoins as unsafe collateral

The use of stablecoins as collateral for on-chain lending and credit operations constitutes a further amplification channel. As a financial construction, stablecoins look similar to MMFs or uninsured deposits (Gorton and Zhang, 2023). However, their technological features make them distinct tradeable assets rather than claims on an intermediary. Stablecoins are bearer digital assets directly owned by holders, freely transferable and globally tradable, and thus easily pledgeable as collateral in

crypto speculation. This use is central to crypto markets: stablecoins can be placed in lending pools to earn interest or borrowed and reused as collateral for secured loans (Huang et al., 2026). Going back to the railway metaphor, the technical rules allow DeFi protocols governing the leveraged transaction to interact with stablecoin train and place tokens into a 'locked coach', where they cannot circulate freely. If the collateral giver performs, the tokens return to the original coach; if default or liquidation occurs, the token moves to a different coach and can be redeemed.

Safe collateral is a key ingredient for extreme leverage (Gorton, 2017), allowing investors to raise repo-like secured debt to carry derivative trades or build leveraged positions with minimal haircuts. The stablecoin's collateral function depends on two legal conditions: prudential treatment in collateralised transactions and bankruptcy treatment in default. On both dimensions, the US approach is particularly permissive. On the prudential side, the Securities and Exchange Commission (SEC) recently issued guidelines allowing broker-dealers to apply a 2% haircut on their stablecoin positions when calculating regulatory capital, as opposed to the previous full capitalisation regime. Their US legal status in default is still to be fully clarified, but stablecoins used as collateral in loans, margins, or swap agreements, repos involving securities, and securities contracts have been granted superior bankruptcy privileges ('safe harbour'). This has implications for stability, as collateral may be immediately repossessed and resold upon default, leading to sudden price drops that would in turn trigger large redemptions (Perotti, 2014).[6] Thus, distress in crypto speculation or dollar stablecoin reserves on the US dollar market may sudden direct outflows to European issuers. In the absence of cooperation with the US on movement of reserves or swap lines, the risk is an unhedgeable exposure of the EU to dollar runs.

3 STABLECOIN REDEMPTION: THE LEGAL REGIME

3.1 MiCAR vs GENIUS Act: Redemption rights and asset safeguards

What legal entitlements are given to stablecoin holders under MiCAR and the US GENIUS Act? The issue of regulatory divergence matters once stablecoins are issued through multi-country structures. When confidence deteriorates, the value of the holder's position depends on the redemption regime attached to the token.

The comparison has two key elements. The first is redemption rights: can holders exit at par, how quickly they can do so, and can extreme redemption be contained by contingent fees or restrictions? The second is asset safeguards by safe and liquid reserves under strict custody, and other investment, liquidity, and capital norms to ensure stability. Within the railway metaphor: what are the rules to get off the train and what are the rules that the station has to abide by in treating the reserves in the station vault. Both regimes construct stablecoins around a promise to maintain stable value and convert, redeem, or repurchase tokens against official money. They differ in how that promise is designed and protected.

We first look at redemption rights. MiCAR adopts a strong version of the stablecoin promise (Martino, 2026). Holders of e-money tokens (EMTs)[7] can request the issuer to redeem the tokens at any time at par value. Redemption cannot generally be subject to a fee.[8] In functional terms, MiCAR constructs stablecoins as strongly redeemable private-money claims: holders can demand par redemption without bearing exit costs. In other words, just as banks.

6 Upon the default of Lehman Brothers on September 2008, all MBS collateral repossessed by its repo lenders was sold within hours, amplifying the shock of the default. Next to legal incentives to sell immediately repossessed collateral, there are clear advantages to front-selling other lenders, and fire sale losses do not affect repo lenders as long as they are lower than their haircuts (Perotti, 2014).

7 This is MiCAR jargon for asset-backed stablecoins pegged to official currencies; see Article 3(7) MiCAR.

8 Fees, gates, suspensions, and similar arrangements are only available when the EMT issuer is in breach of MiCAR's requirement on reserves. The measures are based on the issuer's recovery plan and are discretionarily activated by the supervisor. This design is proved to be ineffective and prone to forbearance (Martino and Perotti, 2025).

The GENIUS Act seeks to produce a distinct form of private digital money centred around the MMF blueprint. While US regulated stablecoins will be redeemable, US primary legislation is less prescriptive on the operative features of that promise. It requests clear disclosure of the issuer's redemption policy. Accordingly, the GENIUS Act allows redemption fees and gates, even for several days, while MiCAR's entitlement to redemption at par at all times cannot be constrained by the issuers.

This difference is not important during normal market conditions. As long as the stablecoin trades at par and confidence in the issuer is intact, holders may treat the EU and US versions of the same stablecoin as economically equivalent. The difference becomes material under stress, however. If the token trades below par, or if holders expect others to redeem, the legally safest and cheapest exit becomes more valuable. A redemption right that is continuously exercisable, at par and free of redemption fees, is not functionally identical to a redemption claim whose operational conditions depend more heavily on issuer policies and implementing rules. In simpler terms, the US station can more easily halt holders to require all their tokens get off at the same time and create congestion.

In an MCI structure, tokens issued under different legal regimes circulate as technologically interchangeable (i.e., fungible) units of the same digital asset. Stronger EU redemption rights will therefore be the focal point for redemption pressure: being absent a functionally equivalent power to halt redemption at the EU station, holders will target it in times of stress, resulting in congestion and disruption generated also by the redemption of tokens originally issued under a different jurisdiction. The divergence becomes even more pronounced once the proposed implementation rules under the GENIUS Act are considered (a point developed in Section 3.2).

Currently, Circle features different redemption arrangements for EU and US clients, illustrating how these differences in legal regimes translate into heterogeneous effective redemption opportunities. MiCAR's right to redeem "at any time" refers to the holder's possibility to exercise their right, not to the immediate settlement of the request. Under Circle France's EU redemption arrangements, the USDC white paper clarifies that European retail holders may redeem directly with Circle France, with payment normally completed within five business days. Institutional holders instead access Circle Mint, Circle's platform for minting and redemption, where basic redemption takes approximately two business days and an optional paid premium service offers near-instant execution. US-issued USDC, in contrast, permits direct redemption only to eligible Circle Mint customers.[9] These operational differences determine which holders can access each redemption channel and on what terms. In particular, sophisticated holders with access to faster institutional redemption may exit ahead of retail holders, strengthening first-mover incentives when stress emerges. The relevant arbitrage is consequently not based on a mechanically faster EU settlement process, but on the possibility of directing redemption towards the most advantageous available exit as conditions deteriorate.

On the asset side, required reserve and prudential rules, MiCAR and GENIUS also move in different directions. MiCAR has a strict regime sharply limiting qualitative asset transformation. Funds received in exchange for stablecoins must be safeguarded; reserves must be safe and liquid instruments – specifically, bank deposits, government bonds, and covered bonds.

The GENIUS Act also requires stablecoins to be backed on at least a one-to-one basis, but the class of eligible reserve assets is broader and more market-centred, allowing, in addition to cash and deposits and also short-term Treasury securities, repurchase and reverse repurchase agreements, government MMF shares, approved federal-government assets, and some tokenised reserve assets. The reserve is not

9 After the full implementation of the GENIUS Act, this will need to be amended to comply with the new regulatory requirements.

a pool of safeguarded funds held in bank accounts, but rather a portfolio of liquid financial assets. This design supports liquidity in normal times but increases risk transformation: holders are promised redemption in money, but the issuer needs to meet that promise by liquidating market instruments, repo claims, MMF shares, and other liquid assets. The US model is closer to a money-market structure than to MiCAR's electronic-money logic.

These distinct asset compositions support different redemption architectures. MiCAR's asset-side rules support an unconditional redemption promise: unconditional redemption at par at any time. The GENIUS Act manages liquidity risk through traded claims, and redemption terms are delegated to disclosed issuer rules. In normal times, the practical differences are minimal. Under stress, the legal design of reserves, redemption rules, and any supervisory powers define the value of the claim.

Finally, there is divergence in capital and liquidity rules. MiCAR backs its redemption and reserve regime with prudential requirements: EMT issuers are subject to own-funds requirements of at least 2% of CET1 (3% for significant issuers). MiCAR also imposes a specific liquidity constraint on the asset side: at least 30% of the funds received in exchange for stablecoins must be kept in a separate account with a credit institution. This liquidity buffer limits risk transformation and reduces the link of redemption with market liquidity.

The GENIUS Act does not impose a requirement of a defined share of the reserve held in a bank account, nor does it envision a comparable quantitative capital rule. Instead, it requires the relevant regulator to develop capital, liquidity, reserve-diversification, and interest-rate-risk standards tailored to the issuer's business model and risk profile adequate to ensure ongoing operations. This language allows for more issuer discretion, so overall capital and liquidity requirements are less stringent than under MiCAR norms.

In an MCI structure, these differences become a further source of arbitrage: the EU redemption channel is relatively more attractive under stress, while stronger reserve and capital safeguards further support the credibility of that channel.

In conclusion, there are more than legitimate concerns about redemption arbitrage in case of distress in crypto speculation or in stablecoin reserve markets. Because stablecoin markets remain overwhelmingly US dollar-denominated, such arbitrage would transmit dollar stablecoin runs to jurisdictions outside the US, including the EU (Portes, 2025).

3.2 GENIUS Act implementation and the OCC proposal

The final implementation of the GENIUS Act is still unclear. The US legislation leaves decisive elements of the regime open to technical implementation by the relevant primary federal regulators. Implementation rules determine how redemption is operationalised, how liquidity pressure is managed, how reserves can be monetised, and how supervisory discretion enters the stablecoin promise under stress. This approach in part reflects business practices developed in an unregulated framework. Its focus is on the disclosure of terms, often rather opaque at present, and more uniform redemption terms across investors (at present, many unregulated stablecoins allow only redemptions by large investors).

Because the GENIUS Act allocates supervisory responsibility across different regulators depending on the issuer's legal form, several agencies issued proposed rules. We focus here on the OCC proposal, which applies to federal qualified payment

stablecoin issuers, including nonbank entities seeking federal authorisation.[10] It would therefore cover Circle and Tether if these issuers sought US federal authorisation. The Federal Deposit Insurance Corporation (FDIC) and National Credit Union Administration (NCUA) proposals follow the same broad architecture for institutions under their respective jurisdiction, so the discussion refers only to the OCC proposal.

We focus on the proposed redemption regime. For a detailed overview of the proposed rules and a comparison with the EU regime, see Appendix I. The OCC would require issuers to adopt and disclose a redemption policy, including the procedures, the expected and legally required timeframe, and any applicable fees. Redemption is therefore protected through an operational framework built around disclosed issuer policies subject to supervisory control.

Most importantly, the proposed rules give redemption a specific time structure. In ordinary conditions, redemption must be completed no later than two business days after the request. This rule gives holders a defined expectation and prevents redemption from becoming open-ended. At the same time, it differs from the MiCAR model. MiCAR frames redemption as a holder entitlement exercisable at any time, at par and without redemption fees. The OCC proposal instead treats redemption as a process that may be organised, priced, and delayed within regulatory limits: the US station has even more extensive powers to delay or restrict redemptions exactly at the time when redemption requests are more pressing and congestion becomes more likely.

This difference becomes sharper under stress. Where redemption requests exceed 10% of outstanding issuance value within a 24-hour period, the OCC proposal extends the redemption period to seven calendar days, unless the OCC determines that the issuer can satisfy redemptions earlier in an orderly, fair, and transparent manner. This is a gate-like delay mechanism designed to manage pressure on reserves and avoid disorderly liquidation.

This structure matters for run dynamics: the OCC proposal makes clear that GENIUS Act implementation manages redemption as a liquidity-stress problem. Fees, delay, and supervisory discretion become part of the redemption architecture, affecting run incentives and potentially leading to front-running (Matta and Perotti, 2024).

The OCC proposed rules on asset safeguards have a general prohibition on pledging, rehypothecating, or reusing reserve assets. However, it allows Treasury bills held in reserve to be used as collateral for repo transactions to generate emergency liquidity. The carve-out is functionally important because it allows the issuer to transform Treasury collateral into immediate redemption liquidity through repo markets. This may reduce short-term liquidity pressure, but it also introduces encumbrance and close-out risk: once reserve Treasuries are used in repo transactions, they become subject to the priority and enforcement logic of safe-harbour treatment. In a crisis centred around US dollar reserves, repo lenders may run by increasing margins, thus demanding more liquidity to carry the positions.

Second, the OCC proposed rules confirm that capital requirements are tailored-made by issuers (subject to supervisory approval), rather than being fixed by regulators.

Third, the OCC introduces a ‘backstop requirement’, a form of required liquidity buffer. Unlike MiCAR’s liquidity requirement, which fixes a liquid component within the reserve itself, the OCC backstop operates as an operational continuity buffer outside the reserve assets, supporting the issuer’s capacity to process redemptions rather than directly strengthening the liquidity composition of reserves.

10 State stablecoin regimes may differ significantly from the federal framework and, in some cases, may be more permissive. We do not analyse them separately because, under the GENIUS Act, state-qualified nonbank issuers whose outstanding issuance exceeds USD 10 billion are generally required to transition to federal supervision, normally under the OCC, subject to a statutory waiver permitting continued state supervision. For the large-scale issuers that are central to our analysis, the federal regime is therefore the more relevant benchmark.

While proposed implementation rules introduce prudential terms that discourage or at least stem stablecoin runs, the GENIUS Act approach remains at odds with the MiCAR framework. The US model views redemption credibility as backed by private operational liquidity management policies, and supervisory discretion.

4 HOW TO CONTAIN MCI REDEMPTION ARBITRAGE

We showed that differences between the GENIUS Act and MiCAR in the context of MCI stablecoins create a dollar-run risk in Europe. We condition the analysis that follows on the likely EU policy choice to continue permitting technologically fungible MCI in Europe. Within this scenario, we evaluate the existing framework and propose regulatory measures to achieve functional redemption equivalence. By functional redemption equivalence, we mean that EU redemption norms on non-euro stablecoins (or other technologically fungible tokens) will match US norms, to avoid financial distress and a degree of loss of monetary sovereignty once stress materialises on (stablecoin) dollar markets: when it comes to the regime to get off the train, the EU station should be allowed to treat stablecoins as the US stations to avoid redemption optionality. The most concerning scenario would be a major shakeup in crypto assets, or elevated US dollar market distress coupled with sudden flight from the dollar. Once stablecoin reserves come under visible pressure, incentives to redeem will become self-reinforcing.

Section 4.1 examines the current European policy debate, from the ESRB recommendation issued in 2025 to its development in the Commission's MiCAR revision consultation. Section 4.2 then proposes contingent measures, whether in the form of redemption fees or gate-like restrictions.

4.1 The current EU debate on MCI regulation

In 2025, the European Systemic Risk Board (ESRB) set out proposals to address MCI risks (ESRB, 2025). The report identifies the right problem: MCI stablecoins expose the EU to dollar redemption runs generated elsewhere. The ESRB advances several proposals, including a ban on MCI stablecoins. This would mean that a train could stop at the EU station only if it were the only station available to that train. This would effectively remove the redemption arbitrage opportunity and the associated risks. We do not take a position on whether such structural solutions are preferable. Our analysis focuses on what safeguards are required if the EU continues to permit technologically fungible MCI.

Our analysis takes for granted that there will be no ban to EU issuance of MCI stablecoins.

At the other extreme, a more relaxed approach would rely on facilitating reserve mobility across borders through intra-group financing arrangements (namely, from the US issuing entity to its EU subsidiary) in cases of asymmetric redemption. Under this solution, the train would be able to stop at any station, while redemption imbalances would be addressed off-chain by transferring reserves between station vaults according to where redemption pressure concentrates. This solution is not reliable in times of financial or geopolitical stress, as large transfers may be necessary precisely at a time when national authorities will wish to ring-fence liquidity. Moreover, less-than-immediate reserve mobility does not resolve the redemption arbitrage incentive as it does not prevent holders from choosing that issuer as the faster, cheaper, or legally safer redemption option.

Besides these two extreme solutions, the ESRB developed other proposals that have translated into the European Commission a targeted consultation on the review of MiCAR launched in May 2026 (European Commission, 2026). The consultation confirms that multi-country issuance is now one of the central issues in the European stablecoin debate, reflecting the concerns raised by the ESRB Report and its policy proposals. The Commission asks whether MiCAR should continue to permit multi-

issuance models, whether existing safeguards are sufficient, and whether the EU can identify which tokens are genuinely circulating in the Union, where reserves are located, and whether cross-border reserve transfers would remain available under stress.

The proposed safeguards can be grouped into three categories. The first concerns redemption rights. The consultation considers strengthening the redemption rights of holders of stablecoins genuinely circulating in the EU, as opposed to tokens transferred into the EU during stress to benefit from MiCAR protections. It also considers restricting direct redemption rights to clients of EU-authorised crypto-asset service providers (CASPs), excluding or weakening MiCAR-guaranteed redemption for holders using unhosted wallets, and differentiating redemption rights in crisis between retail and wholesale or professional holders. The second category considers liquidity and reserves, such as a dedicated EU liquidity buffer or reserve tranche calibrated to cover short-term redemption spikes in the EU. The third category considers public disclosures and international coordination: high-frequency reporting on reserve location, liquidity and transfer constraints, and binding cooperation arrangements between home and host supervisors to ensure rapid cross-border reserve transfers.

In our view, these proposals cannot effectively address the specific risks raised by MCI. The consultation treats redemption rights mainly as a problem of perimeter: which tokens, holders, or intermediaries should have the possibility of getting off at the EU station and benefit from MiCAR's redemption protection. This does not guarantee functional redemption equivalence. MCI risk does not arise only because too many holders may benefit from MiCAR redemption rights; it arises because the EU route is faster, cheaper, or legally safer than the third-country route during stress. Limiting direct redemption to CASP clients, differentiating retail and professional holders, or protecting only tokens genuinely circulating in the EU therefore leaves the core incentive largely untouched: they do not alter the relative attractiveness of the EU station, which would remain the rational redemption route. If anything, the proposed safeguards would make the use of the EU station a bit more difficult. However, these norms would be difficult, or even impossible, to apply where tokens are technologically fungible and holder location is hard to verify.[11]

The proposed safeguards may raise the cost of accessing the EU redemption channel, but they do not change its relative attractiveness for holders who remain eligible. Moreover, such restrictions are readily circumvented where an ineligible holder can transfer or sell the fungible token to an eligible EU CASP client, who can then redeem it through the EU issuer.

A similar issue arises with supervisory safeguards such as dedicated liquidity buffers and granular reporting. These partial capacity-side measures do not change run incentives, so the EU issuer would remain the preferred redemption channel and would become overwhelmed in a large shock. Most problematic is the reliance on cooperation arrangements, which in the case of large dollar runs places even euro monetary sovereignty in question.

In conclusion, these proposals seek to regulate who may use the EU station, rather than changing the exit rules that make it the preferred redemption channel under stress.

The consultation raises the possibility of declaring the legal equivalence regime for third-country stablecoin frameworks. The difficulty is that equivalence declarations are formal EU determinations for market-access purposes. They do not necessarily imply functional equivalence between the redemption regimes of formally equivalent jurisdictions. For MCI risk, equivalence must be achieved functionally, not merely declared formally. If the safeguards do not achieve functional redemption equivalence,

11 For the technical limits of holder- and location-based redemption restrictions, see footnote 3.

a formal equivalence declaration may amplify rather than reduce MCI risk. We now turn to proposing a redemption regime aimed at achieving functional equivalence with the US regime.

4.2 Towards functional equivalence: Contingent measures

In the spirit of European strategic autonomy, we consider now a gap-closing solution for MCI issuers, robust even in the absence of international cooperation on reserves.

Current MiCAR norms provide superior redemption safeguards than the US Genius Act, leading to systemic risk of runs on USD-denominated MCI stablecoins. The redemption regime for MCI stablecoins should therefore be radically modified, seeking functional equivalence with the US regime. This objective can only be pursued by aligning contingent redemption terms to the US approach activated in case of elevated outflows to overcome forbearance. Activation should ideally be automatically triggered once outflows cross a predefined threshold to avoid forbearance (Matta and Perotti, 2024).

While stablecoin redemptions may be caused by large shocks to crypto assets or concerns about reserves, a full run may arise from self-fulfilling concerns about other investors redeeming, just as in a bank run. Such beliefs are discouraged by contingent redemption norms such as quantity limits (gates) or pricing (charges) (Martino and Perotti, 2025).

A gate or delay mechanism is the closest functional analogue to the OCC approach discussed in Section 3.2. Once redemptions exceed a defined threshold – such as 10% of EU-issued coins in 24 hours, as in the OCC proposed rules – redemptions through the EU issuer should be temporarily delayed or suspended.

Contingent fees represent a less drastic measure, an automatic stabiliser removed once normal conditions resume. Fees do not suspend access to redemption rights and preserve the possibility of exit but makes stress-time redemption costly. They are quite effective in discouraging redemptions driven by self-fulfilling expectations of a run (Oostdam et al., 2025). Their use had been enabled by US norms on prime MMF in 2023.

The effectiveness of both measures depends on the credibility of a timely activation. There is ample evidence of the unreliability of discretionary stabilising tools in stressed conditions (Ennis and Keister, 2009). Even though such measures are stabilising ex ante, issuers have strong ex-post incentives to avoid them. In the first place, activation may itself signal fragility. Moreover, stablecoin issuers, just as MMF fund managers, ex post prefer to serve customer requests to maintain their credibility. Assigning the task to supervisors may also lead to forbearance (Martynova et al., 2022).[12] Thus, activation must occur before discretionary delay makes the measure irrelevant (Martino and Perotti, 2025).

Triggers based on reserves failed to contain massive MMF runs in 2020 for two reasons. First, fund managers chose to maintain cash to avoid early activation of gates. Second, as cash reserves were disclosed daily, they became a natural coordinating mechanism for runs (Li et al., 2021). For the related reason to avoid forbearance or hesitation, activation should also not depend on supervisory intervention. Fragmented national supervision may also lead to less credible enforcement. These triggers do not eliminate incentives to redeem before activation, and some anticipatory redemptions may therefore occur. Their stabilising role is instead to limit the amount that can be redeemed on unchanged terms and to smooth the run once the threshold is reached (Martino and Perotti, 2025). Sequencing an earlier fee before a harder gate can further smooth the run by reducing the cliff effect associated with an immediate suspension of redemptions (Oostdam et al., 2026).

12 This is the key weakness of the current MiCAR regime on recovery plans; see the criticism discussed in footnote 8.

The technological features of stablecoins generates a complex redemption infrastructure that, if designed properly, can make a credible automatic activation easier to implement (Shin, 2023). By redemption infrastructure, we refer to the combination of technical protocols, interfaces, and issuer systems through which redemption requests are recognised, aggregated, processed. This infrastructure may combine on-chain components (e.g., smart contract rules) and off-chain components (e.g., KYC rules and AML checks). For our purposes, the key point is that the redemption infrastructure must ensure that the relevant redemption measures are automatically applied once the predefined threshold is reached.

Smart contracts operate through predefined conditional rules and can automatically enforce regulatory outcomes (Bechtold et al., 2026). It is technically feasible to encode a rule such as: "if redemptions exceed x%, then apply a temporary fee of y%, or delay the redemption request by z days". Thus, a safety trigger can be embedded in the redemption infrastructure, allowing contingent measures to operate automatically and transparently, reducing ambiguity while preserving regulatory oversight. The precise technological architecture may vary and depend on the architecture of the specific redemption infrastructure, but the regulatory requirement should be that activation is predetermined, auditable, and technically enforceable.

The railway parallel once again helps clarify the difference. MiCAR and GENIUS primarily determine the rules governing redemption once the train stops at a particular station. The effectiveness of these rules depends on how reliable and credible the management that supervises the station is. Our proposal instead requires the redemption infrastructure governing the train-and-station system to contain ex-ante technical rules determining whether, when, and on what terms passengers can get off at the EU station. If redemption requests exceed the prescribed threshold, the redemption mechanism should automatically restrict the possibility to exit the train or permit it only upon payment of the applicable fee.

Therefore, the revised version of MiCAR should require MCI stablecoin issuers to maintain a redemption infrastructure capable of automatically enforcing such contingent measures. The activation should not be left to voluntary issuer policy, nor rely on a measure controlled by the issuer such as liquid reserves.

We do not seek here to calibrate the optimal thresholds or level of the contingent measures. The parameters below are institutionally anchored in existing US regulatory approaches: the earlier activation of charges draws on the experience of contingent measures for money market funds, while the higher threshold for gating reflects the 10% redemption threshold in the OCC proposed rules. Our proposal concerns primarily the sequencing and automaticity of these measures rather than exact calibration.

Concretely, we advise mandatory redemption charges of at least 1% upon large outflows (5% to 10%), hard-wired into the infrastructure supporting the redemption protocol on the digital ledger on which the EU-issued stablecoins circulate. If outflows were to reach the more elevated levels fixed by the OCC proposed rules (i.e., above 10%), an automatic stay also inserted in the smart contract will need to be triggered. This more extreme measure matches the OCC proposal for suspension of redemptions for 2 to 7 days on US-issued stablecoins in such circumstances. For the purposes of these thresholds, redemption outflows should be aggregated across all blockchains on which the stablecoin circulates and measured against the total outstanding amount issued by the EU issuer across those blockchains.

In the end, contingent fees are effective in reducing self-fulfilling redemption runs, but they will certainly not rule out extreme dollar runs when US redemptions have been suspended. The worse scenario is a systemic event, such as a sudden flight from the dollar. In such circumstances, dollar stablecoin runs on EU issuers would even enable investors to bypass any US currency controls. Thus, there is a compelling case for a systemic-exception power assigned to the ECB, allowing it to suspend redemptions of

MCI stablecoins from EU issuers where contingent measures fail to contain outflows. Note that because of differences in redemption incentives, EU terms may be activated before comparable measures would be activated in the US.

Compliance with these requirements should be assessed ex ante. An MCI issuer should be required to demonstrate that its redemption infrastructure can reliably aggregate the relevant redemption flows and automatically enforce the prescribed contingent measures as a condition for issuing the stablecoin in the EU. Supervisory discretion would therefore operate in assessing the adequacy and robustness of the infrastructure, rather than in deciding whether the measure should be activated once the predefined conditions are met.

In terms of procedure and supervision, we advocate for a centralised supervision of all stablecoins that are issued in an MCI structure, irrespective of the criteria currently set by MiCAR to trigger centralised supervision. Given the Union-wide interest in financial stability and monetary sovereignty, the matter cannot be left to the potentially asymmetric implementation of national competent authorities. This also calls for an explicit role for the ECB in the supervision of stablecoins independent of the scale of EU issuances, since the relevant scale of redemption risk is associated with its worldwide issuance. Such a power should remain exceptional. Its function is not to replace the contingent regime, but to preserve monetary sovereignty and financial stability where functional redemption equivalence is no longer sufficient to stop destabilising outflows.

5 CONCLUSION

European legislators must recognise the massive scale of worldwide dollar stablecoin issuances, which creates the risk of redemption arbitrage in the context of large-scale exit from stablecoin holdings. Revisions to the MiCAR framework must confront risks arising from allowing multi- country issuance of the same token, in order to maintain EU strategic autonomy and monetary sovereignty. MCI risk arises because tokens issued in different legislation are recorded on-chain as indistinguishable units of the same digital asset. Such technological fungibility of legally non-fungible tokens creates the room for redemption arbitrage.

Conditional on the EU choosing to continue permitting technologically fungible MCI, we focus on the resulting remedies for redemption arbitrage. Reviewing the experiences of MMF norms over redemption terms and the proposed GENIUS Act implementation rules (through an OCC proposal), we propose automatic stabilisers triggered by large redemption flows. We suggest sequencing redemption charges ahead of gating, to ensure proportionality combined with a guarantee of stability and monetary sovereignty. We also advance a special role for the ECB in the supervision of stablecoins independent of the scale of EU issuances, since the relevant scale of redemption risk is associated with its worldwide issuance.

REFERENCES

Ahmed, R., I. Aldasoro and C. Duley (2024), "Public information and stablecoin runs", BIS Working Paper No 1164.

Aldasoro I., P. Mehrling and D.H. Neilson (2023), "On par: A Money View of stablecoins", BIS Working Papers No 1146.

Aldasoro I., G. Cornelli, M. Ferrari Minesso, L. Gambacorta and M.M. Habib (2024), "Stablecoins, money market funds and monetary policy", BIS Working Paper No 1219.

Aldasoro, I., J. Frost and H. Ito (2026), "The impact of stablecoins on the international monetary and financial system", BIS Papers No 170.

Bechtold S., G. Dari-Mattiacci, E.D. Martino, G. Parchomovsky (2026), "Property Without Law. Personalized Property Rights Through Smart Contracts on the Blockchain", *Yale Journal on Regulation*, forthcoming.

Bindseil, U., C.-P. Georg, P.Hansen and C. Melches (2026), "The Multi-Issuance Issue", forthcoming.

Brunnermeier, M. (2024), "Presidential Address: MacroFinance and Resilience", *Journal of Finance* 79(6): 3683-3728.

Cecchetti, S. and K. Schoenholtz (2025), "Crypto, tokenisation, and the future of payments", CEPR Policy Insight No 146.

Diamond, D. and P. Dybvig (1983), "Bank Runs, Deposit Insurance, and Liquidity", *Journal of Political Economy* 91(3): 401-419.

Eidan, D., J. Frost, R. Kansal, U. Lewrick, S. Hyuk Lim and T. Rybarczyk (2026), "Blockchain consensus mechanisms and fragmentation", BIS Bulletin No 126.

Ennis, H. M. and T. Keister (2009), "Bank Runs and Institutions: The Perils of Intervention", *American Economic Review* 99(4):1588–1607.

European Commission (2026), "Targeted consultation on the review of Regulation on the Markets in Crypto-Assets (MiCA)".

ESRB – European Systemic Risk Board (2025), "Recommendation on third-country multi-issuer stablecoin schemes", ESRB/2025/9.

FSB – Financial Stability Board (2020), Regulation, Supervision and Oversight of 'Global Stablecoin' Arrangements.

Gabor, D. (2025), "Transatlantic fault lines: Risks and opportunities in EU–US macro-financial relations", European Parliament Think Tank Study.

Gorton, G. (2017), "The history and economics of safe assets", Annual Review of Economics 9:547-586.

Gorton, G. and J.Y. Zhang (2023), "Taming wildcat stablecoins", *University of Chicago Law Review* 90(3): 909-971.

Goel, T., U. Lewrick and I. Agarwal (2026), "Making stablecoins stable(r): can regulation help?", BIS Working Paper No 1355.

Huang W., N. Tarashev and X. Wang (2026), "Stablecoin remuneration on centralised exchanges", BIS Bullettin No 125.

International Monetary Fund (2025), "Understanding stablecoins", IMF Departmental Paper, Washington DC.

Li, L., Y. Li, M. Macchiavelli, and X. Zhou (2021), "Liquidity restrictions, runs, and central bank interventions: Evidence from money market funds", *The Review of Financial Studies* 34(11): 5402-5437.

Loporchio, M., D. Di Francesco Maesa, A. Bernasconi, and L. Ricci (2024) "Comparing Ethereum fungible and non-fungible tokens: an analysis of transfer networks", *Applied Network Science* 9(1): 72-103.

Ma, Y., Y. Zeng and A. L. Zhang (2025), "Stablecoin runs and the centralization of arbitrage", NBER Working Paper No 33882.

Martino, E.D. (2024), "Monetary sovereignty in the digital era. The law & macroeconomics of digital private money", *Computer Law & Security Review* 52:1-13.

Martino, E.D. (2026), "E-Money Tokens: Licensing and Substantive Regime", in F. Annunziata and R. Lastra (eds), *Handbook on the Market in Crypto Assets Regulation*, Oxford University Press (forthcoming).

Martino, E.D. and E.C. Perotti (2025), "Containing Runs on Solvent Banks: Prioritizing Recovery over Resolution", *Journal of Financial Crises* 7(1): 1-30.

Martynova, N., E.C. Perotti and J. Suarez (2022), "Capital forbearance in the bank recovery and resolution game", *Journal of Financial Economics* 146(3): 884-904.

Matta, R. and E. C. Perotti (2024), "Pay, Stay or Delay", *Review of Financial Studies* 37(4):1368–1407.

Noll, F. (2026), "What Are Stablecoins Used for Today? Estimating the Distribution of Stablecoins", Federal Reserve Bank of Kansas City.

Oostdam, R., R. Matta and E.C. Perotti (2025), "Sand in the Wheels: Addressing Runs through Contingent Fees".

Perotti, E. C. (2014), "The Roots of Shadow Banking", in S. Claessens, S., D. Evanoff, G. Kaufman and L. Leaven (eds), *Shadow Banking Within and Across National Borders*, World Scientific.

Portes, R. (2025), "Multi-issuer stablecoins: A threat to financial stability" VoxEU.org, 27 October.

Schär, F., A. Kosse, T. Rice, T. Shirakami and J. Siridhasanakul (2026), "The anatomy of stablecoin transactions", BIS Working Paper No 1359.

Schnabel, I. (2026), "From money market funds to stablecoins: lessons for central banks", speech at International Conference on Central Banks and the Future of Money, Seoul.

Shin, H.S. (2023), "A blueprint for the future monetary system", in *BIS Annual Economic Report 2023*.

Shin, H.S. (2026), "Tokenomics and blockchain fragmentation", BIS Working Paper No. 1335.

van't Klooster J., E. D. Martino, E. Monnet (2025), "Cryptomercantilism vs. Monetary Sovereignty", EBI Working Paper No. 200.

Watsky, C., J. Allen, H. Daud, J. Demuth, D. Little, M. Rodden and A. Seira1 (2024), "Primary and Secondary Markets for Stablecoins", FEDS Notes, Board of Governors of the Federal Reserve System.

APPENDIX I. OVERVIEW OF THE OCC PROPOSED RULES

TABLE A1 **KEY PROVISIONS OF THE OCC PROPOSED RULES**

OCC proposed rule	Topic	Summary
§15.12(a)	Public redemption policy	Issuer must publicly disclose its redemption policy, including redemption timeframe, regulatory limits, extension scenarios and any minimum redemption amount.
§15.12(a)(5)	Minimum redemption amount	Issuer must disclose the minimum number of stablecoins it will redeem, provided the number is greater than or equal to one payment stablecoin.
§15.12(d)(1)(ii)	Redemption value	Issuer must disclose that it is obligated to redeem stablecoin for a fixed amount of monetary value.
§15.12(d)(1)(iv)	Redemption fee	Issuer must disclose all fees associated with redeeming stablecoins.
§15.12(b)(1)	Normal timeframe	Timely redemption may not exceed two business days after the requested redemption date.
§15.12(c)(1)-(4)	Automatic extension	- Redemption demands exceed 10% of outstanding issuance value in a single 24-hour period. - The redemption period automatically extends to seven calendar days.
§15.12(c)(5)	Discretionary extension	OCC may extend timely redemption if the issuer poses a threat to safety and soundness, financial stability, or if extension is otherwise in the public interest.
§15.16(b)(1)	Unusual and exigent circumstances	If the OCC determines that unusual and exigent circumstances exist, it can impose limitation on redemptions.
§15.11(g)(3)	Reserve failure and forced redemption	If reserves fall below required minimums for 15 consecutive business days, the issuer must begin liquidation and redemption of outstanding stablecoins.
§15.41(c)(3)	Capital breach and forced redemption	If an issuer fails to satisfy its minimum capital or backstop requirements for two consecutive quarters, the issuer must begin full liquidation and redemption of outstanding stablecoins.

TABLE A2 **REDEMPTION REGIME: COMPARING OCC PROPOSED RULE AND MiCAR REGIME**

Topic	OCC proposed rule	MiCAR
Redemption value	Redeem for a fixed amount of monetary value	Explicit par value redemption (§49.4)
Redemption fee	Fees may be charged, but must be clearly disclosed	Redemption must not be subject to a fee (§49.6)
Redemption amount	Issuer may set a minimum amount	No explicit minimum-redemption rule
Redemption timeframe	No later than 2 business days	Issuer must redeem at any time (§49.4)
Automatic extension	Automatic extension to 7 calendar days if redemption demands exceed 10% in a single 24-hour period	No equivalent automatic extension rule
Orderly redemption	Full redemption if issuer fails reserve or minimum capital requirements	Recovery/redemption plan for orderly redemption (§46-47)

ABOUT THE AUTHORS

Edoardo D. Martino is Associate Professor of Law and Finance at the University of Amsterdam (UvA) and a Research Associate at the European Banking Institute (EBI). Edoardo holds a PhD in Law and Economics from Erasmus University Rotterdam and University of Hamburg (Summa cum Laude); and an LL.M. in Law & Economics from Erasmus University Rotterdam (with distinction). He has held visiting positions in several universities, including the European University Institute, Goethe University Frankfurt, LUISS University, and Oxford University. He engages in interdisciplinary research in financial regulation, corporate governance and fintech.

Eric Monnet is an economic historian, Professor at the EHESS and Paris School of Economics, and CEPR Research Affiliate. He has held visiting and research positions at Columbia University, Rutgers University, Ghent University, the IMF, the think tank Bruegel, and previously worked as an economist at the Bank of France. His work focuses on the history of European financial systems, central banking and on the international monetary system in the 19th and 20th century. He has published articles in leading journals in history, economic history and macroeconomics.

Enrico Perotti (PhD MIT) is Professor of Finance at the University of Amsterdam, with top publications on banking, legal evolution, credit cycles, financial regulation and political economy. His current focus is on financial resilience by contingent tools, regulatory simplification and stablecoin policy. He served as advisor to DNB board (2010-12, 2025-26), Duisenberg Fellow, Houblon-Normal Fellow at Bank of England (2011-12, 2026-27), member of ESRB Scientific Advisory Committee.

CEPR

CENTRE FOR ECONOMIC POLICY RESEARCH

The Centre for Economic Policy Research (CEPR) is a network of almost 2,000 research economists based mostly in European universities. The Centre's goal is twofold: to promote world-class research, and to get the policy-relevant results into the hands of key decision-makers. CEPR's guiding principle is 'Research excellence with policy relevance'. It was founded in the UK in 1983, where it is a Charity, and in November 2019 CEPR initiated the creation of an Association under French law, in order to provide a vehicle for an expansion in France. The members of the Conseil d'Administration of the Association are identical to the UK Board of Trustees.

CEPR is independent of all public and private interest groups. It takes no institutional stand on economic policy matters and its core funding comes from its Institutional Members, projects that it runs and sales of publications. Because it draws on such a large network of researchers, its output reflects a broad spectrum of individual viewpoints as well as perspectives drawn from civil society. CEPR research may include views on policy, but the Trustees/members of the Conseil d'Administration of the Association do not give prior review to its publications. The opinions expressed in this report are those of the authors and not those of CEPR.

Chair of the Board	Sir Charlie Bean
Founder and Honorary President	Richard Portes
President	Beatrice Weder di Mauro
Vice Presidents	Maristella Botticini
	Antonio Fatás
	Pierre-Olivier Gourinchas
	Refet Gürkaynak
	Ugo Panizza
Chief Executive Officer	Tessa Ogden